Statement of Work and Project Charter

Statement of Work (SOW)

- A formal, early document defining the whole scope of work for a vendor
- Clarifies deliverables, costs and timeline
- Needed when vendors or external contributors join the team
- Part of a bid document or contract
- Must be clear to avoid disputes over deliverables, budget or timeline



SOW Example: Rice University Computer Store

Part	Content
Introduction	Rice University plans to create a store selling computer supplies
Purpose	Provide income for the Student Center and supply items to students and faculty at competitive prices
Scope (included)	Decide supplies, set competitive prices, secure vendors, set up departments
Scope (not included)	Anything other than computer supplies
Deliverables	Supplies procured and stocked, teams and staffing in place, store policies including hours
Milestones	All vendors selected, contracts or orders complete, supplies delivered, pricing determined

Project Charter

What it does

- States the project exists
- Gives the project manager written authority to start and spend the budget
- Rarely amended once created

What it contains

- Purpose and justification
- High-level objectives, requirements, schedule, budget
- Success criteria
- Project manager and approval authority

Inputs: statement of work, business case, agreement, environmental factors, organizational process assets.

Charter Example (1/2): Purpose, Objective, Scope

Business need

Provide income for the Student Center and supply necessary items on campus at competitive prices.

Objective: SMART

Specific, Measurable, Acceptable, Realistic, Time based (deadlines, not durations).

Scope

Determine supplies, set competitive prices, secure vendors, establish departments. State what is excluded too.

Charter Example (2/2): Planning and Approval

Section	Rice University store
Milestones	Vendors selected, orders complete, supplies delivered, pricing determined
Assumptions	Only computer supplies sold; students and faculty are customers; students manage the project; a faculty or staff sponsor mentors them
Constraints	Students meet only in school hours; no planning software available
Preliminary cost	Procurement team prepares a proposal for review by the Dean of Undergraduate Studies
Acceptance	Names, titles and signature lines of those who sign off

SOW vs Project Charter

	Statement of Work	Project Charter
Purpose	Business need and deliverable characteristics	Authorizes the project and the manager's spending authority
Includes	What is and is not included	Objectives, success criteria, schedule, budget, approvals
Provided by	Customer (external) or sponsor (internal)	Created in Develop Project Charter, using the SOW as input